

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 14-06

**SANTA FE DISCOUNT CRUISE PARKING, INC. d/b/a EZ
CRUISE PARKING; LIGHTHOUSE PARKING, INC.; and
SYLVIA ROBLEDO d/b/a 81st DOLPHIN PARKING**

Complainants

v.

**THE BOARD OF TRUSTEES OF THE GALVESTON
WHARVES and THE GALVESTON PORT FACILITIES
CORPORATION**

Respondents

STATEMENT OF COMPLAINANTS

**SANTA FE DISCOUNT CRUISE PARKING, INC. D/B/A EZ CRUISE PARKING
LIGHTHOUSE PARKING, INC., AND
SYLVIA ROBLEDO D/B/A 81ST DOLPHIN PARKING**

TABLE OF CONTENTS

PROCEDURAL HISTORY	1
ISSUES REMAINING	4
1. WHETHER RESPONDENTS HAVE SHOWN LEGITIMATE TRANSPORTATION FACTORS JUSTIFYING THE DISPARATE TREATMENT REGARDING TAXICABS	6
2. WHETHER RESPONDENTS HAVE SHOWN LEGITIMATE TRANSPORTATION FACTORS JUSTIFYING THE DISPARATE TREATMENT REGARDING LIMOUSINES	7
3. WHETHER RESPONDENTS HAVE SHOWN LEGITIMATE TRANSPORTATION FACTORS JUSTIFYING THE DISPARATE TREATMENT REGARDING SELECTIVE ENFORCEMENT OF THE TARIFF	8
4. STATUTE OF LIMITATIONS	9
NO SUPPLEMENTAL BRIEFING REQUIRED	10

Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking; Lighthouse Parking, Inc.; and Sylvia Robledo d/b/a 81st Dolphin Parking, pursuant to the Order to Identify Necessary Supplemental Briefing dated August 17, 2018, hereby submit this Complainants' Statement.

PROCEDURAL HISTORY

Complainants are Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking, Lighthouse Parking, Inc., and Sylvia Robledo d/b/a 81st Dolphin Parking (collectively "Complainants"). Complainants each own and operate private parking lot businesses near the Port of Galveston, serving passengers of cruise ships that call on that port. Respondents are the Board of Trustees of the Galveston Wharves and the Galveston Port Facilities Corporation¹ (collectively "Respondents"). Complainants filed a complaint with the Federal Maritime Commission (FMC) on June 13, 2014, identifying Respondents' multiple violations of the Shipping Act of 1984, as amended (46 U.S.C. § 40101 *et seq.*) (the "Shipping Act") as specifically encompassed in 46 U.S.C. §§ 41102(c), 41106(2), and 41106(3). By order of Administrative Law Judge (ALJ), the Honorable Clay G. Guthridge, Complainants' claims for violations of 46 U.S.C. §§ 41102(c) and 41106(3) were dismissed with prejudice. *See Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC No. 14-06 (ALJ Nov. 21, 2014) (Order on Pending Motions and Partial Dismissal) ("*Santa Fe Partial Dismissal*").

Following comprehensive briefing by Complainants and Respondents, and multiple extensions of time granted to both, the ALJ considered and decided Complainants claims arising from Respondents violations of 46 U.S.C. §§ 41106(2), and dismissed all of Complainants'

¹ Because the Federal Maritime Commission's Order Affirming Initial Decision's Dismissal of Complaint was vacated, the Galveston Port Facilities Corporation remains a Respondent to this action. However, the Administrative Law Judge's November 21, 2014 Order on Pending Motions and Partial Dismissal dismissed same as a party, and such order was neither appealed nor challenged by Complainants.

remaining claims. *See Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC No. 14-06 (ALJ Dec. 4, 2015) (Initial Decision) (“*Santa Fe Initial Decision*”). In the *Santa Fe Initial Decision*, the ALJ applied the *Ceres* elements,² and determined that, while Complainants satisfied *Ceres* Element Two by establishing the requisite disparate treatment, Complainants failed to establish *Ceres* Elements One and Four. *Id.* at 30-32 and 52. Based on these determinations, the ALJ did not analyze Respondents’ burden to establish *Ceres* Element Three.

On January 11, 2016, Complainants timely filed Complainants’ Exceptions to and Appeal of Initial Decision of December 4, 2015, and the FMC issued its order on January 13, 2017. *See Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC No. 14-06 (FMC Jan. 13, 2017) (Order Affirming Initial Decision’s Dismissal of Complaint) (“*Santa Fe Commission Affirmance*”). The FMC affirmed the ALJ’s *Santa Fe Initial Decision*; however, the FMC vacated the portion of the *Initial Decision* that found that Complainants failed to prove the first *Ceres* element. *Id.* at 18. Citing *Ceres* and predecessor decisions, the FMC stated that “[i]n the MTO context, the Commission has not required a showing that two entities are in a competitive relationship or similarly situated when the MTO charge or service applies universally and does not vary according to cargo characteristics.” *Id.* at 17; *citing Ceres*, 27 S.R.R. at 1271. The FMC then found that there was no indication of material difference in the service provided—access to the terminal to drop off and pick up passengers—or the characteristics of the “cargo” carried—the cruise passengers. *Santa Fe Commission Affirmance*, at 17. The FMC concluded that “[a]ccordingly, Complainants in this

² As provided below, the *Ceres* elements are: (1) complainant and another person are similarly situated or in a competitive relationship; (2) respondent treated complainant and the other person differently; (3) the different treatment was not justified by a legitimate transportation factor; and (4) the different treatment proximately caused injury to complainant. *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1270 (FMC 1997).

proceeding are not required to show that they were in a competitive relationship or similarly situated with other ground transportation companies.” *Id.*

The *Santa Fe Commission Affirmance* also correctly affirmed that Complainants established the requisite disparate treatment in satisfaction of *Ceres* Element Two, finding in relevant part that “other port users were charged for each access or not charged at all for access in the case of taxicabs or smaller limousines. Complainants have demonstrated that they were accorded different treatment from other port users.” *Id.* at 19-20.

Complainants thereafter timely appealed the FMC’s *Santa Fe Commission Affirmance* to the U.S. Court of Appeals for the District of Columbia Circuit (D.C. Circuit) on March 14, 2017. Following briefing and oral argument, the D.C. Circuit vacated the FMC Decision and remanded for further proceedings consistent with the D.C. Circuit’s opinion. In a *per curiam* decision, the D.C. Circuit found—Judge Kavanaugh writing for the Court—that the Port “charges commercial passenger vehicles such as taxis, limos, and shuttle buses for access to the Port’s parking terminal. Petitioners operate shuttle buses. The Port charged Petitioners’ shuttle buses more than the Port charged taxis and limos.” *Santa Fe Disc. Cruise Parking, Inc. v. Fed. Mar. Comm’n*, 889 F.3d 795, 796 (D.C. Cir. 2018) (“D.C. Circuit Judgment”). Vacating the FMC’s decision that the Complainants did not establish that they suffered injury from the different rates, the D.C. Circuit found that “[t]he Commission’s conclusion is not sustainable,” and Complainants “were plainly injured when they were charged more than the other commercial passenger vehicles,” thus finding that Complainants had satisfied *Ceres* Element Four. *Id.* at 797.

On August 9, 2018, the FMC issued an order remanding the proceeding to the ALJ “to address all remaining issues.” *Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC No. 14-06 (FMC Aug. 9, 2018) (Order Remanding Proceeding

to Administrative Law Judge) (“*Order Remanding Proceeding to ALJ*”). Thereafter, the ALJ ordered Complainants to serve and file the present statement, which is hereby timely performed. *Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, FMC No. 14-06 (ALJ Aug. 17, 2018) (Order to Identify Necessary Supplemental Briefing) (“*Order to Identify Necessary Supplement Briefing*”).

ISSUES REMAINING

At issue remains Complainants’ claims arising from Respondents’ several violations of 46 U.S.C. § 41106(2). It is settled that such claims are governed by the precedent established in *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251 (FMC 1997). Under *Ceres*, the initial burden rests upon the complainant to show that it was (1) similarly situated or in a competitive relationship with another party; (2) that the parties were accorded different treatment by the respondent marine terminal operator; and (3) that the disparate treatment injured the complainant. *Id.* at 1270-71. Once the complainant makes that initial showing, the burden shifts to the respondent to justify the disparate treatment based on legitimate transportation factors. *Id.*

Ceres Element One—that the differently treated entities were similarly situated or in a competitive relationship—does not apply to the circumstances of this case. *Santa Fe Commission Affirmance*, at 18. *Ceres* Element Two—that Complainants were accorded different treatment from other ground transportation companies and their respective vehicles, e.g., taxis, limousines, and busses—is established in this case. *See id.*; *Santa Fe Initial Decision*, at 32; *Santa Fe Disc. Cruise Parking, Inc. v. Fed. Mar. Comm’n*, 889 F.3d 795, 797 (D.C. Cir. 2018). It is further settled that *Ceres* Element Four—that the resultant prejudice or disadvantage proximately caused injury to the complainant—has been shown by Complainants in this case.

Santa Fe Disc. Cruise Parking, Inc. v. Fed. Mar. Comm’n, 889 F.3d 795, 797 (D.C. Cir. 2018). As the D.C. Circuit recognized, Complainants were injured by being charged for access to the terminal when other commercial transportation vehicles were provided the same access service essentially for free.

Complainants having satisfied their initial burden, the burden of production shifts to Respondents to “justify the different treatment based on valid transportation factors.” *Order Remanding Proceeding to ALJ*, at 3; *see also Santa Fe Disc. Cruise Parking, Inc. v. Fed. Mar. Comm’n*, 889 F.3d 795, 796 (D.C. Cir. 2018); *Ceres*, 27 S.R.R. at 1270-71. Therefore, what remains to be decided is whether Respondents’ are able to rebut Complainants’ showing by demonstrating, if they can, that the unequal treatment was justified by legitimate transportation factors.

These issues were presented below and Respondents had ample opportunity to present arguments in the briefing and record below. In the “Brief of Complainants Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking, Lighthouse Parking, Inc., and Sylvia Robledo d/b/a 81st Dolphin Parking” filed on May 18, 2015 (“Complainants’ Brief”), Complainants identified the respective burdens of proof on the parties as set forth in *Ceres* as precedent, and specifically, that Respondents “ha[ve] the burden of justifying the difference in treatment based on legitimate transportation factors.” Compl. Brief, at 12; *see Ceres*, 27 S.R.R. at 1270-71. In the “Corrected Brief of Respondents The Galveston Wharves and The Galveston Port Facilities Corporation,” filed on June 15, 2015 (“Respondents’ Corrected Brief”), Respondents acknowledged their burden with respect to *Ceres* Element Three and proffered argument and evidence on that issue. Resp. Corr. Brief, at 24-25 and 35-37.

Accordingly, consistent with the D.C. Circuit Judgment issued May 11, 2018, Complainants identify the following issues remaining to be addressed:

1. WHETHER RESPONDENTS HAVE SHOWN LEGITIMATE TRANSPORTATION FACTORS JUSTIFYING THE DISPARATE TREATMENT REGARDING TAXICABS

As identified by Judge Kavanaugh in the D.C. Circuit Judgment, the issue remains as to whether Respondents' have justified by legitimate transportation factors, the differential treatment afforded under past and present versions of the Tariff³ by Respondents to Complainants versus taxicabs.

Complainants have briefed this issue in Complainants' Brief (Compl. Brief, at 22-23 and 44) and Complainants' Reply Brief (Compl. Reply Brief, at 7 and 16-18), and Respondents briefed this issue in Respondents' Corrected Brief (Resp. Corr. Brief, at 16, fn.2 and 35-37). The issue was taken up by the ALJ in the Initial Decision, where a conclusion was made that "the decision not to charge access fees for taxicabs for access to the cruise terminal is a reasonable discretionary business decision of the Port." *Santa Fe Initial Decision*, at 35-36. However, deference to a Port's business judgment is not proper without the Port first meeting its burden of establishing, if it can, legitimate transportation factors justifying its decision. *See Maher Terminals, LLC v. Fed. Mar. Comm'n*, 816 F.3d 888, 890 (D.C. Cir. 2016). Further, the question is not whether Respondents have a legitimate transportation justification for *not charging* taxis (as it is not a violation to give a preference), but whether there is a legitimate transportation justification for *charging* other commercial passenger vehicles more for the same service. *See Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC No. 08-03, at 21, 2014 WL 9966245, *11 (FMC Dec. 17, 2014) (internal quotations and citations omitted).

³ The "Tariff" referenced throughout is identified in Complainants' pleadings in this action, and refers to Tariff Circular No. 6 (Item No. 111 – "Other Licenses and Permits"), promulgated by Respondent Board of Trustees of the Galveston Wharves.

This issue was not analyzed by the FMC in its Order Affirming Initial Decision's Dismissal of Complaint. *See Santa Fe Commission Affirmance*, at 26-27.

2. WHETHER RESPONDENTS HAVE SHOWN LEGITIMATE TRANSPORTATION FACTORS JUSTIFYING THE DISPARATE TREATMENT REGARDING LIMOUSINES

As also identified by Judge Kavanaugh in the D.C. Circuit Judgment, the issue remains as to whether Respondents have justified by legitimate transportation factors, the differential treatment afforded under the Tariff by Respondents to Complainants versus limousines.

Complainants have briefed this issue below in Complainants' Brief (Compl. Brief, at 22-23) and Complainants' Reply Brief (Compl. Reply Brief, at 7 and 16-18). As recognized by Respondents' in addressing their burden with regard to their disparate treatment of Complainants as to taxicabs, Respondents chose not to avail themselves of the opportunity to justify their disparate treatment of Complainants with regard to limousines. *See* Resp. Corr. Brief, at 16, fn.2 and 35-37; *see also id.* at 24-25 (Respondents acknowledge their burden to justify their disparate treatment of Complainants with valid transportation factors).

The issue was taken up by the ALJ in the Initial Decision, where a conclusion was made that "the decision not to charge access fees to limousines for access to the cruise terminal is a reasonable discretionary business decision of the Port." *Santa Fe Initial Decision*, at 36. However, as noted above with respect to taxis, deference to a Port's business judgment is not proper without the Port first meeting its burden of establishing, if it can, legitimate transportation factors justifying its decision. *See Maher Terminals, LLC*, 816 F.3d at 890. Although the Port had ample opportunity to offer purported transportation justifications specifically with respect to limousines, it did not do so. The statement in the Initial Decision that "Limousine operations are substantially the same as taxicab operations" (*Santa Fe Initial Decision*, at 36), is not evidence of a transportation justification by Respondents for treating taxis and limousines (under 9

passengers) the same. Rather, Respondents availed themselves of the opportunity to speak on this issue when it amended its tariff in 2014 to charge per trip access rates for all limousines, while continuing to exempt taxis. *See, e.g., Santa Fe Initial Decision*, at 18-19 and 21-23. With respect to the prior exemption for limousines under 9 passengers, as also explained above, the question is not whether Respondents have a legitimate transportation justification for *not charging* those limousines, but whether there is a legitimate transportation justification for *charging* other commercial passenger vehicles, such as shuttle busses, more for the same service.⁴

This issue was not analyzed by the FMC in its Order Affirming Initial Decision's Dismissal of Complaint. *See Santa Fe Commission Affirmance*, at 26-27.

3. WHETHER RESPONDENTS HAVE SHOWN LEGITIMATE TRANSPORTATION FACTORS JUSTIFYING THE DISPARATE TREATMENT REGARDING SELECTIVE ENFORCEMENT OF THE TARIFF

Similarly, the issue remains as to whether Respondents' met their burden of showing legitimate transportation factors justifying their disparate treatment of Complainants by charging Complainants the full access fees prescribed by the Tariff while, from 2007 through 2014, giving preferential treatment to other commercial passenger vehicles that were permitted to consistently access the port without paying the charges assessed in the tariff. As shown in Complainants' Brief (Compl. Brief, at 20-24) and Complainants' Reply Brief (Compl. Reply Brief, at 6-7, 24,

⁴ While Respondent's 2014 tariff amendment rescinded future facial violations between limousines less than 9 passengers and other commercial passenger vehicles of similar capacity, Respondents could have, but did not, attempt to offer any legitimate transportation justification for having treated a "Limousine" differently than a "Shuttle" prior to the tariff change. The distinctions offered by the Port in the respective tariff definitions of those terms were that (1) a shuttle is "a van-type motor vehicle, while a limo is a "luxury sedan" type motor vehicle, and (2) the shuttle definition excluded less than 8 capacity vehicles, but the limousine definition did not. Tariff Cir. No. 6, Dec. 17, 2007, Item. 111, (9) "Limousine", (11) "Shuttle". The Port did not try to suggest that giving special rates only to "luxury sedans" is justified by legitimate transportation factors, but it was afforded ample opportunity to make such arguments below if it so chose, which, understandably, it did not.

26, and 30-32), and as affirmed and admitted to in Respondents' Corrected Brief, Respondents did not collect access fees as required by the Tariff from many other commercial passenger vehicles accessing the Cruise Terminal from 2007 through 2014. Resp. Corr. Brief, at 21, fn.5 and 23, fn.6.

In their Corrected Brief, Respondents acknowledged their burden under Ceres, and attempted to satisfy same with explanations and evidence, though only as to the disparate treatment Respondents afforded Complainants versus taxicabs. Resp. Corr. Brief, at 24-25 and 35-37. However, having no justification based on legitimate transportation factors with regard to the disparate treatment arising from Respondents selective enforcement of the Tariff, or evidence supporting same, Respondents chose to not attempt a justification of same. Whether Respondents satisfied their burden of justifying this disparate treatment was not addressed in the *Santa Fe Initial Decision* or the *Santa Fe Commission Affirmance*, and remains outstanding.

4. STATUTE OF LIMITATIONS

Complainants brought their claims against Respondents for, among other relief sought, the award of reparations for Respondents' violations of the Shipping Act. The issue of reparations has been extensively briefed by both Complainants and Respondents. Compl. Brief, at 27-43. Resp. Corr. Brief, at 38-53. Compl. Reply Brief, at 20-32. In their briefing, Complainants satisfied their burden in showing Respondents' multiple violations of 46 U.S.C. § 41106(2), and Respondents did not satisfy their burden on each such violation. *See* Resp. Corr. Brief, at 39-50. In the Initial Decision, this issue of whether the statute of limitations had bearing on this case was pretermitted (*Santa Fe Initial Decision*, at 37), but was thereafter ordered to be addressed by the FMC's August 9, 2018 Order Remanding Proceeding to Administrative Law Judge. *Order Remanding Proceeding to ALJ*, at 4. The violations remaining to be decided

unequivocally occurred within the three year period prior to filing the Complaint, e.g., June 16, 2011 to June 16, 2014,⁵ and continue with respect to taxicabs.⁶ Although the Port repeatedly amended its tariff during the proceeding in an effort to avoid or minimize scrutiny under the Shipping Act, the Port remains responsible for its violations of the Shipping Act occurring within the statutory period and that are continuing.

NO SUPPLEMENTAL BRIEFING IS NECESSARY

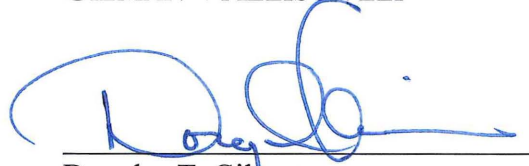
The parties to this matter have been granted, and availed themselves of, the opportunity to fully brief each of the above-identified issues and to submit all evidence they deemed relevant to the issuance of a just decision thereon. Complainants' Brief identified the issues above-remaining and Respondents' burden to show the requisite valid transportation factors to justify the identified violations of the Shipping Act. Respondents' Corrected Brief acknowledged and responded to that burden, forwarding arguments and presenting evidence as best Respondents could. *See* Resp. Corr. Brief, at 25, 29, and 35-37. Therefore, no supplemental briefing is necessary.

⁵ The Amended Complaint was filed on October 21, 2014. Matters alleged in the Amended Complaint should be deemed to relate back to the date of the Original Complaint, but in this case there is no material difference in the dates for the purposes of the Statute of Limitations for reparations. *See, e.g., International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 183, 194-195 (1989), affirming 24 S.R.R. 1585 (ALJ 1989).

⁶ Even under the current version of the Tariff, taxicabs are not charged access fees for access to the cruise terminal.

Respectfully submitted,

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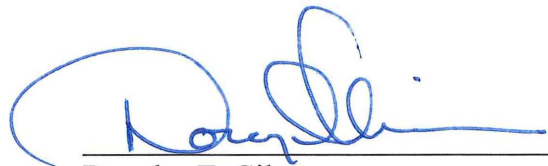
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CERTIFICATE OF SERVICE

I hereby certify that I electronically filed this document on this **5th day of September, 2018**, and that a true and correct copy of the foregoing was served on all counsel of record *via* certified mail – return receipt requested and email, as indicated below:

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